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Market Briefs Pro

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Hey, Pro Briefers!,

This week we've discovered a Main Street Shift: Consumers are shifting money away from fast fashion and into sustainable brands, and it's creating a whole new circular industry for apparel.

Definition: A circular industry is a system designed to minimize waste and keep materials in use for as long as possible.

We're going to break down the consumer behavior that led to this shift, and how it may present investors with unique investment strategies.

The early 2000s saw the fast rise of fast fashion…*and its fast effect on our economy*.

What's that? Fast fashion is apparel focused on clothing that isn't made to last, so consumers need to buy more of it.

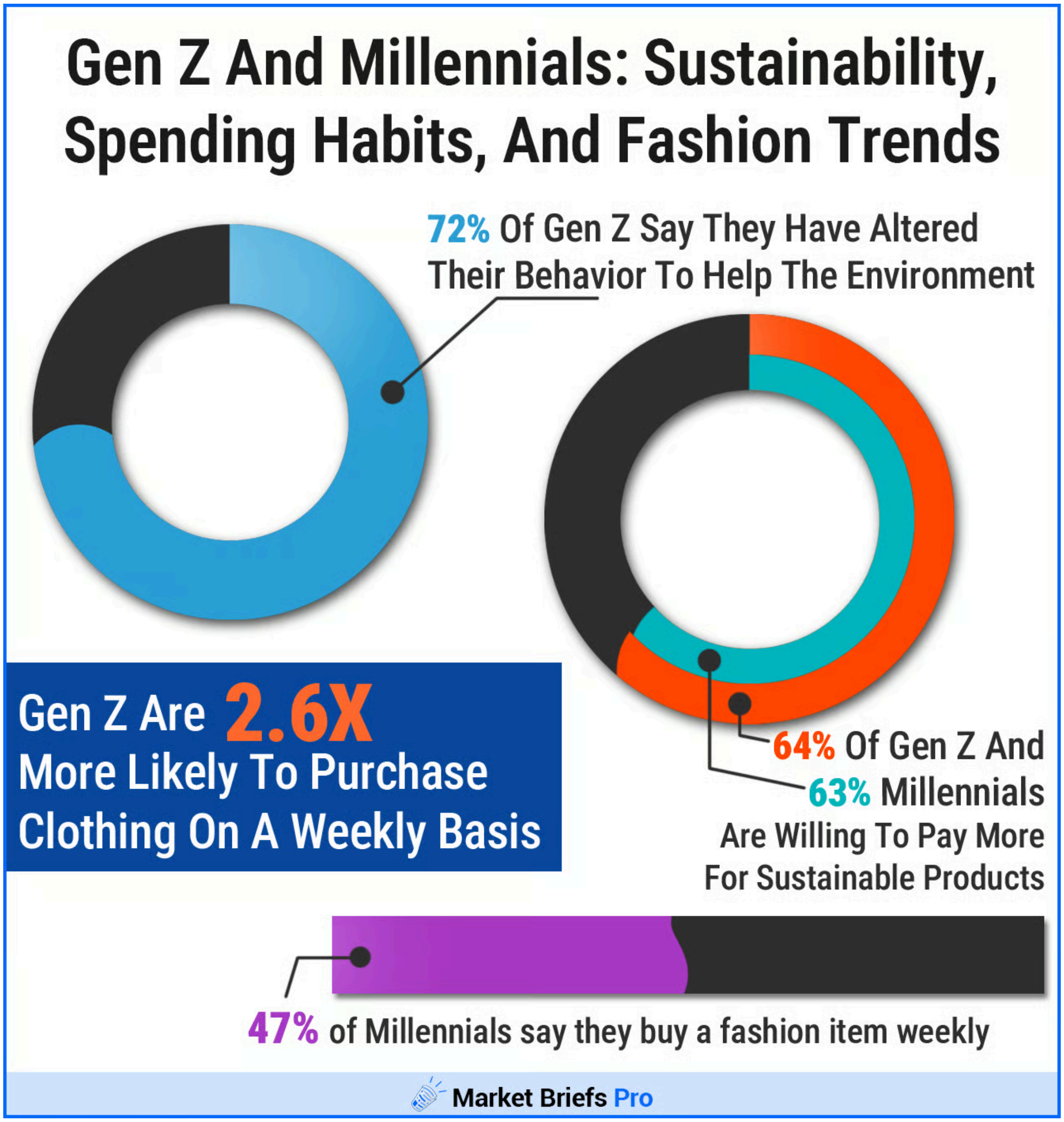
And the clothes from the required mass production? They're piling up.

- Between 2000 and 2018, the amount of textile waste in the U.S. increased by more than 50%, to about 17 million tons per year (A textile is any material made from interlacing fibers or threads).

But it seems like consumers may be ready to slow down, and this is where we've identified a shift

Are we moving too fast? Let's take a step back.

Consumers have been getting more eco-cautious for years, and recent studies have shown that Millennials and Gen Z are starting to shift their spending habits over environmental concerns.



Data via Exploding Topics

- More than 70% of Gen Z say they have altered their behavior to help the environment.

- More than 60% of Gen Z and Millennials say they're willing to pay more for sustainable products.

Just one problem, These generations also love to fill their closets.

- Gen Z are 2.6 times more likely to purchase clothing on a weekly basis.

- 47% of Millennials say they buy a fashion item weekly.

So with these eco-friendly generations also being some of the most avid apparel consumers? Wasteful fashion just isn't going to fly.

So where are they spending their money? On newer apparel to put sustainability forward, crafted out of new materials, which are often recycled from the very waste that fast fashion is producing.

This week, we're going to dive into this unique investment opportunity and show how investors are looking at companies that are in vogue for these eco-friendly fashionistas.

We want your feedback: Tell us what you think about this edition of Market Briefs Pro by clicking here.

BRIEF BREAKDOWN

Recycling

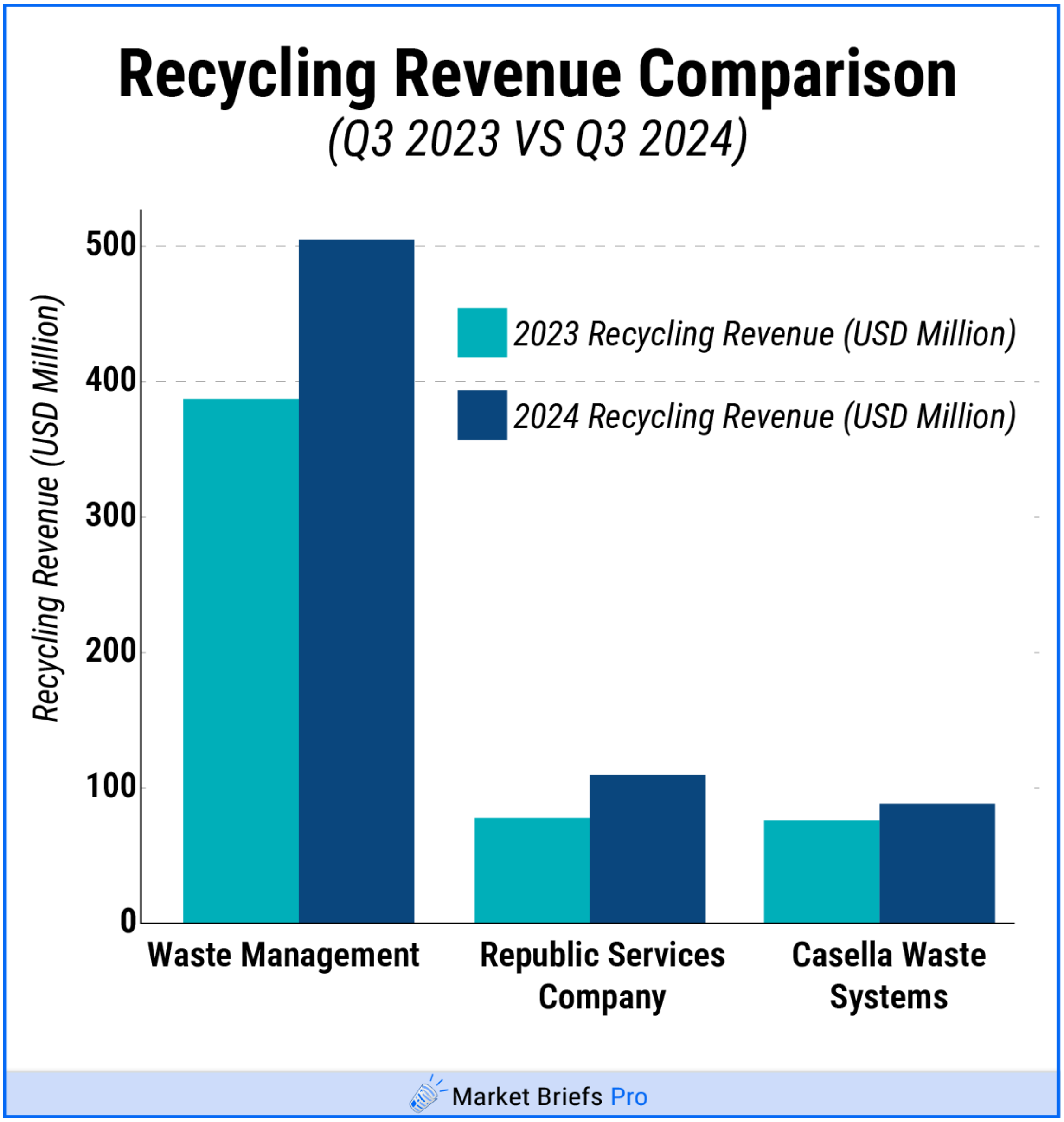
Remember all that textile waste? It's a growing issue.

The most recent data indicates that the fashion industry produces around 97 million tons of waste per year, and 18 million of it is just leftover textiles.

And those numbers keep going up - current estimates have fashion industry emissions set to increase by 50% by 2030.

But some companies see this growing textile waste as an opportunity.

In Q3 of 2024, three of the major American waste management companies reported massive increases in their recycling revenues, much of which came from textile recycling.



Data via SEC filings

> **Waste Management (WM):** Reported a 30% YoY increase in recycling revenue.
>
> **Republic Services (RSG):** Reported a 41% YoY increase in recycling revenue.
>
> **Casella Waste Systems (CWST):** Reported a 14.5% YoY increase in recycling revenue.

While these companies don't break down exactly where the recycling revenue comes from, those revenues have been increasing alongside textile waste production.

In January of 2025 the National Institute of Standards and Technology introduced a textile recycling database in order to better track its impact.

Why? Because textile waste has become such a drastic portion of recycling in the U.S.

And all three of these companies have seen significant share price growth alongside the increase in textile waste.

> **Waste Management (WM):** Is up 78% over the last five years.
>
> **Republic Services (RSG):** Is up 127% over the last five years.
>
> **Casella Waste Systems(CWST):** Is up 128% over the last five years.

Data via Yahoo! Finance

Textile recycling has become such a big business that apparel companies themselves want in on the action.

Levi Strauss & Co (LEVI) has been struggling financially since its second IPO in 2019.

Data via Yahoo! Finance

But by 2024, the company began to stabilize, and is up more than 8% in the past year.

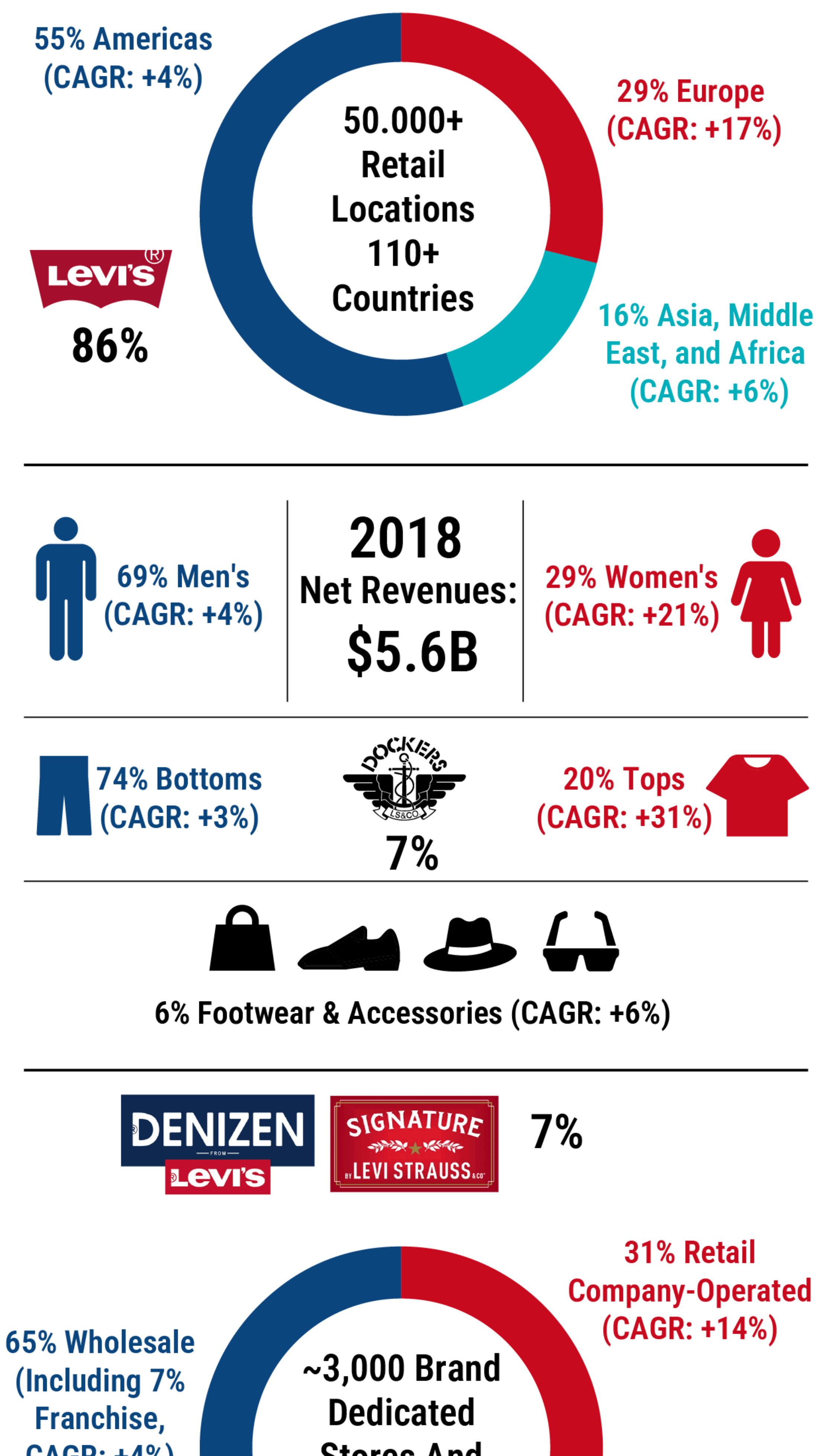
What happened? It announced a commitment to be "circular ready" by 2026, outlining clear goals and the methods by which its products will change to circular supply.

And a lot of this "circular ready" plan revolves around, you guessed it, recycling.

Rather than purchasing recycled textiles from major waste managers like Republic and Casella, Levi's has partnered directly with private recycling companies and even introduced in-store denim recycling bins to try and source materials.

This is all part of the CEO’s plan to double the company’s valuation from $5 billion to $10 billion, believing that targeting younger generations through sustainable practices will play a key role in growth

Levi Strauss & Co. Is A Transformed Business



Data via Levi Strauss

Investors looking to cover a wide range of fashion brands with sustainability goals can find many of them in the iShares MSCI Global Sustainable Development Goals ETF (SDG).

Those looking for waste management companies can find them in the VanEck Environmental Services ETF (EVX).

Data via Yahoo! Finance

Sustainable Materials

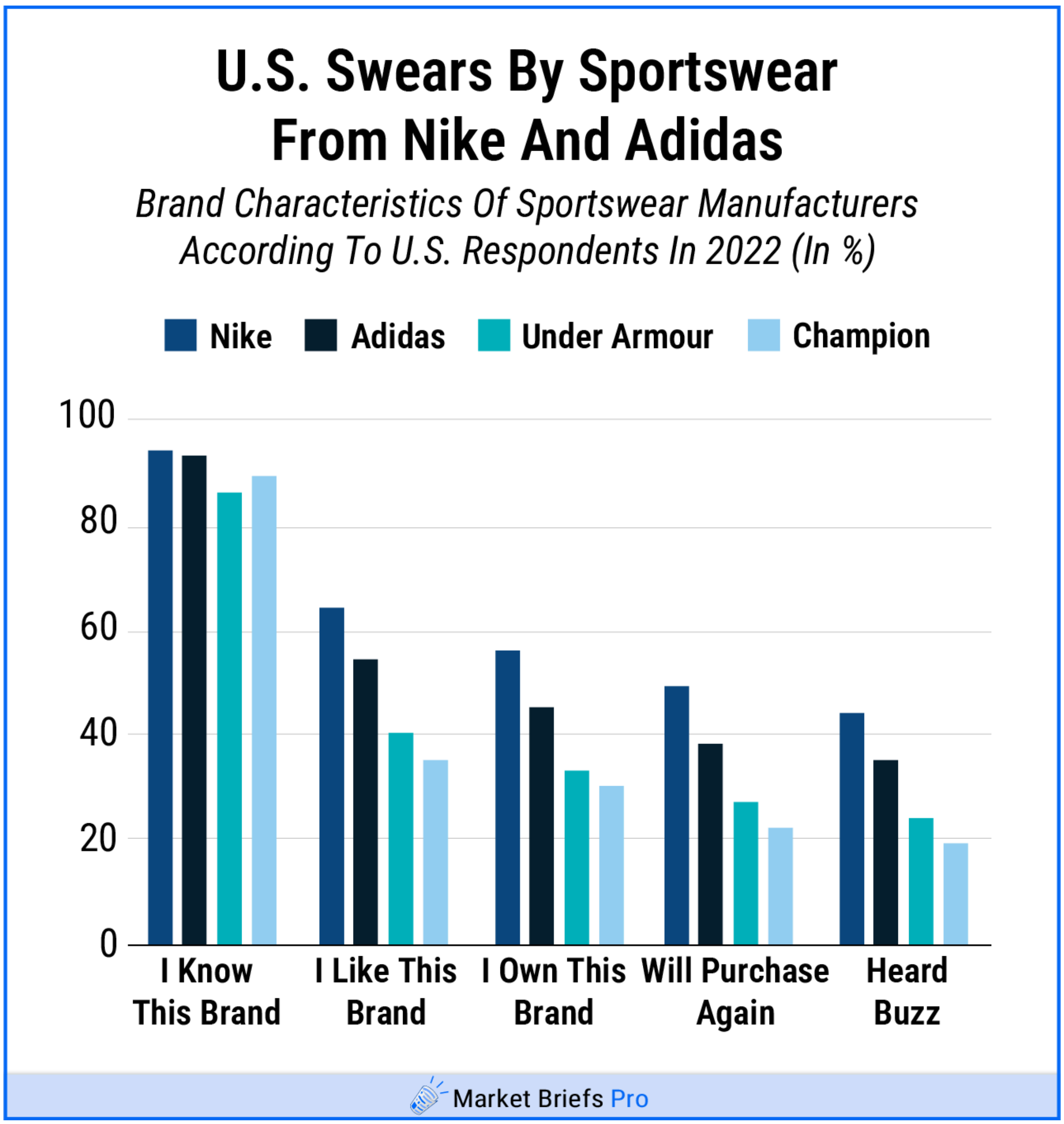
Recycling used materials is just the first step in a circular supply chain, with recycled materials needing to be converted back into usable textiles.

This has created space for companies that create new materials formed from recycling.

And you've probably seen some of these products in the store - *you might even own some.*

Adidas launched two sustainable-forward products, Primeblue and Primegreen to try and pull in eco-cautious customers.

- Adidas's Primeblue products are made from recycled ocean plastics, while Primegreen are made out of recycled textiles.



Data via Statista

And the demand for these green products is on the rise:

Then: In 2018, Adidas scaled up production of its recycled-material products from one to five million after strong first-year sales.

Now: Adidas produces over 27 million pairs of shoes using recycled materials per year to keep up with the growing demand.

With such strong successes, Nike and other brands including Under Armour and The North Face have introduced their own lines of sportswear using recycled materials.

And what do all these brands have in common? *All that material comes from the same company.*

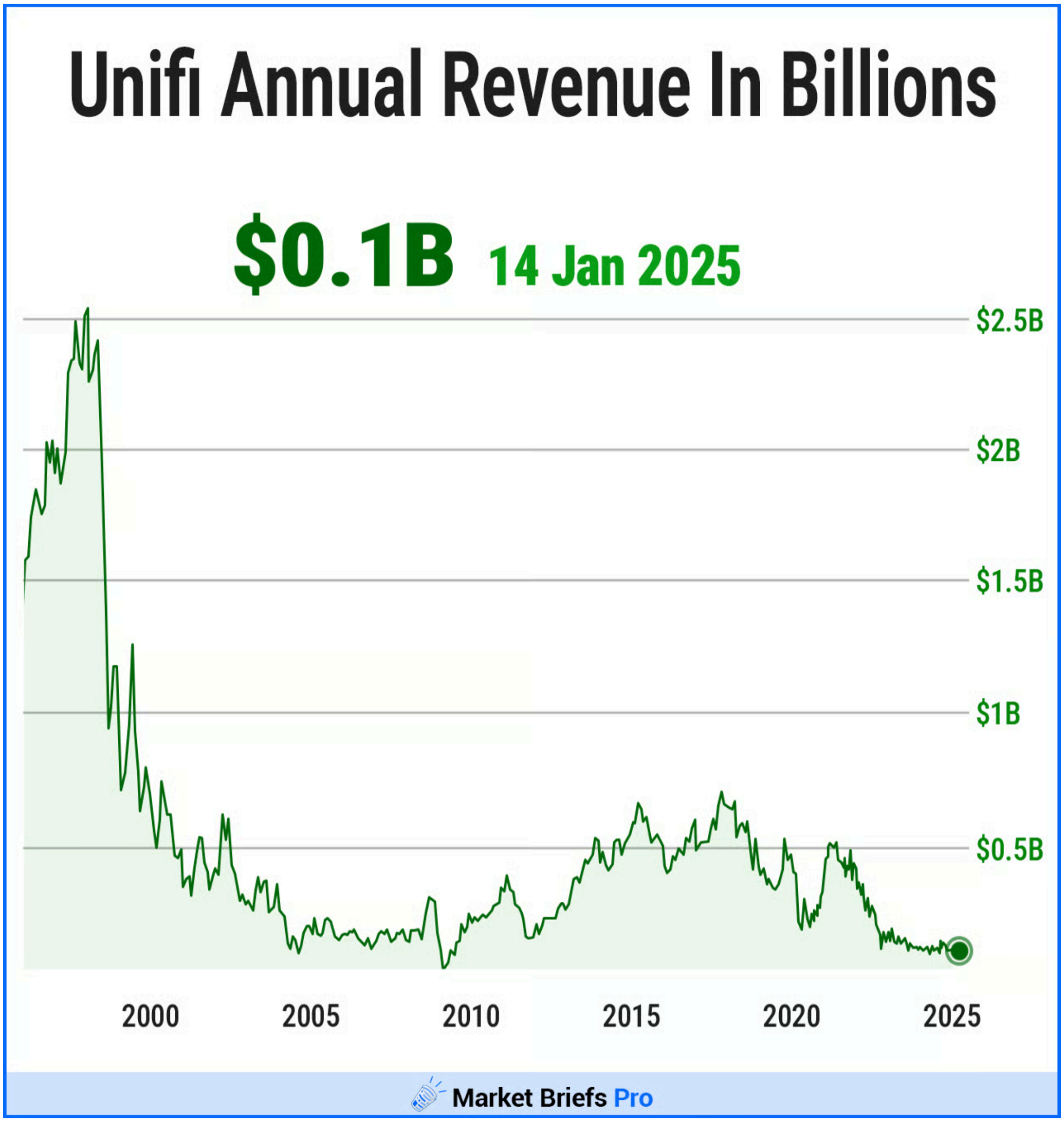
These are just a few of the partnerships secured by Unifi (UFI) and its recycled material brand REPREVE.

- Made from recycled materials, Unifi claims that REPREVE has transformed the equivalent of 1.5 billion t-shirts in textile waste into new products.

Data via Unifi

And while many of its partners (like Adidas) are traded on foreign markets, Unifi is available on U.S. markets.

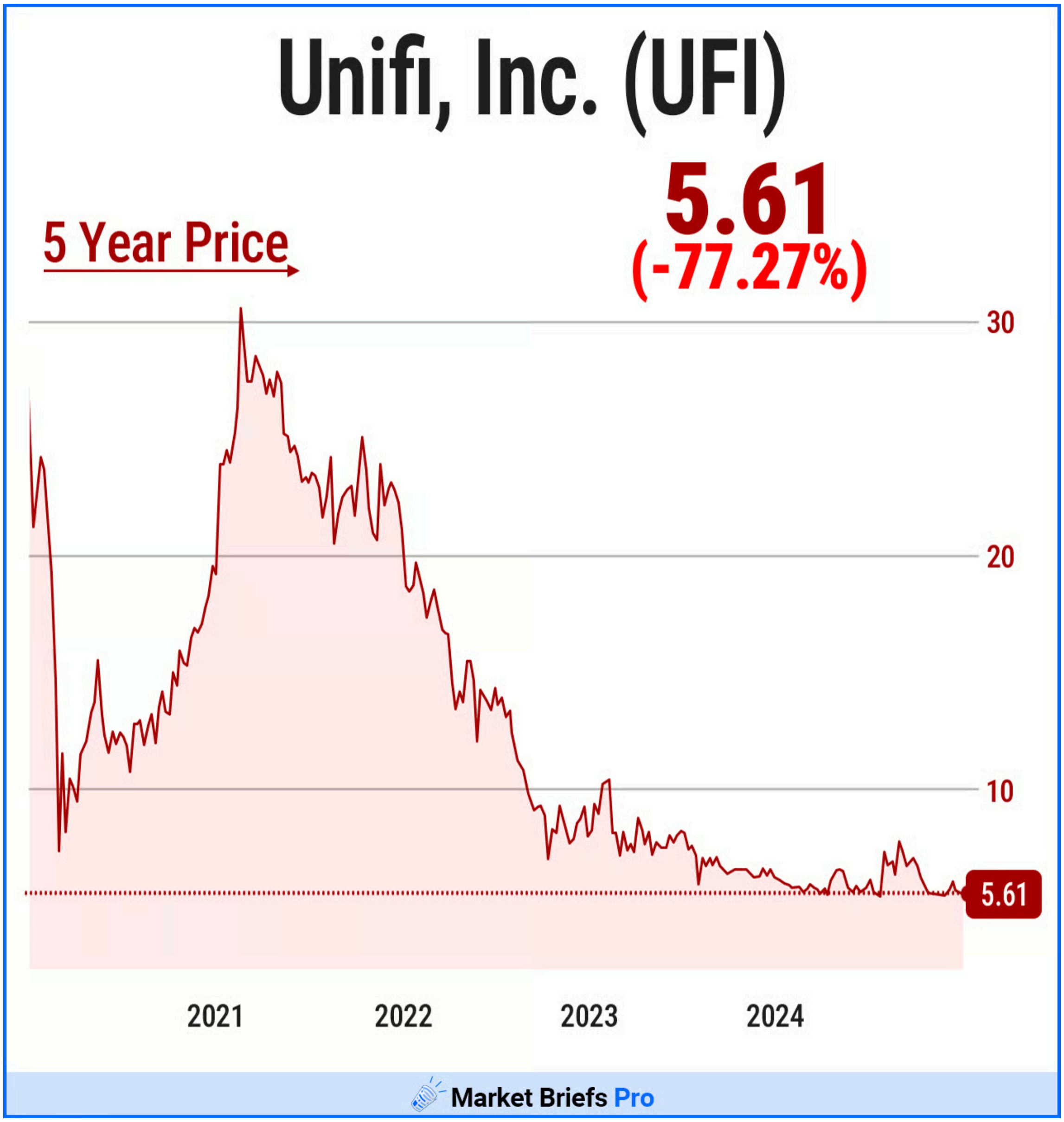
While Unifi has been very popular with apparel brands, it hasn't been so popular with investors.



Data via Companies Market Cap

Unifi has been struggling to find its footing since the late 90s, dropping from a revenue of $2.5 billion in 1997 to just $100 million as of January 2025 - the result of a slow and steady decline.

And its share prices haven’t fared much better, down 77% in the last five years.



Data via Yahoo! Finance

So…where's the opportunity?

Despite struggles, Unifi has not only managed to stay afloat but has secured this massive number of partnerships through its newer circular materials.

As of today, there are more Unifi materials in the hands of consumers than ever before, and that number is rapidly growing.

With growing interest in sustainable apparel, investors are hoping that Unifi will bounce back.

Unifi isn't the only material supplier that's fueling this trend: Eastman Chemical Company (EMN) has advertised its Global Recycled Standard certification as a major selling point for its Naia Renew material.

Eastman designed the Naia material so that it could be marketed as sustainable, and differs from other materials in a few key ways:

- It's 60% sustainably sourced from wood pulp and 40% from certified recycled waste, including plastics and textiles.
- Made in a closed-loop process that makes sure there are no chemical pollutants.
- Leverages non-biodegradable waste in its production, taking it out of the environment.

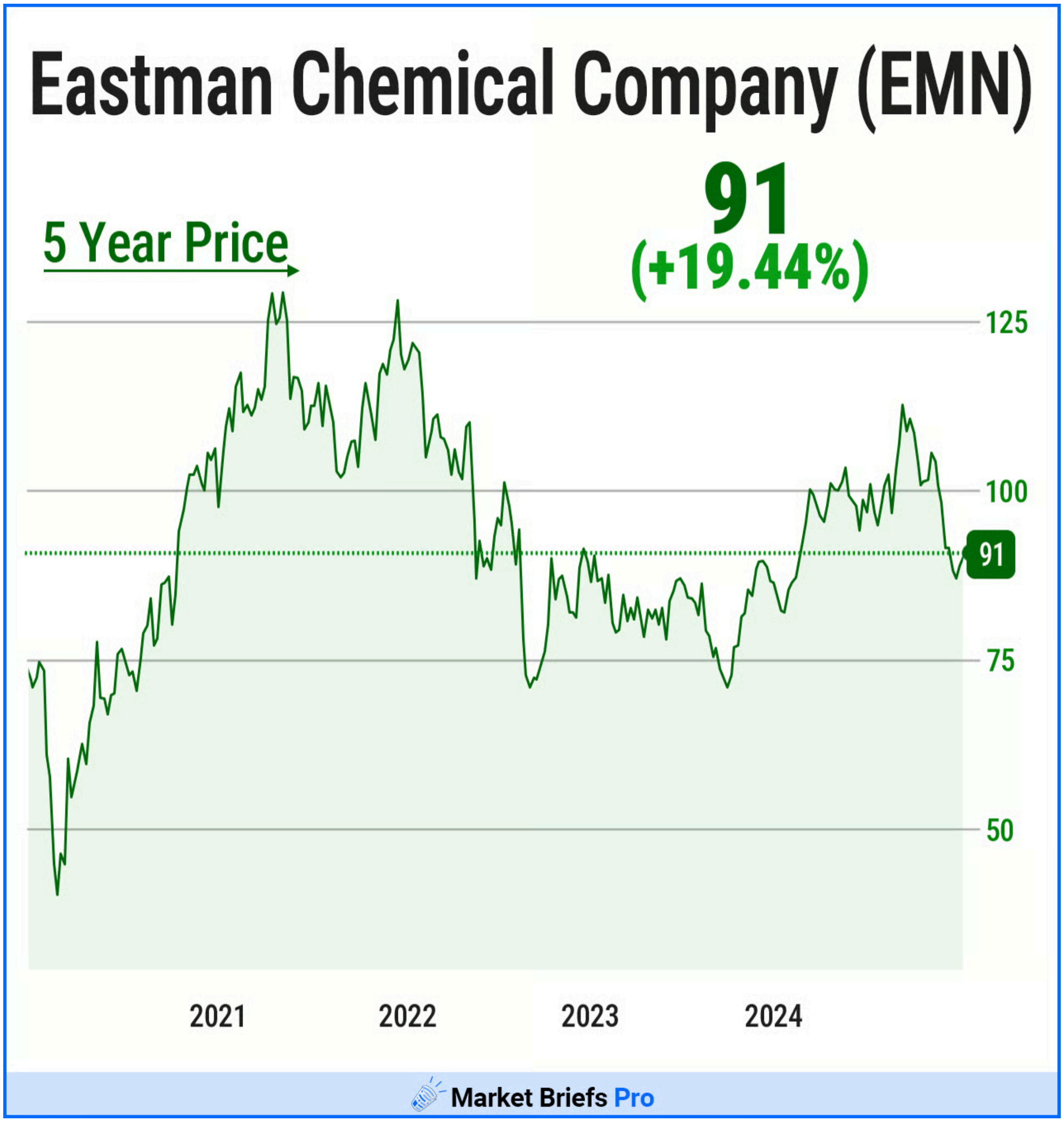
Naia launched in 2020 when environmental concerns were taking the spotlight during the COVID-19 pandemic.

Unlike Unifi, Eastman keeps its brand partnerships confidential, but we've seen its revenue rise alongside this shift toward eco-friendly apparel.

Data via Companies Market Cap

- Last year Eastman showed strong year-over-year growth, from a revenue of $8.3 billion in October of 2023 to $12.4 billion in October of 2024.

And while its share prices are down from a peak in 2021, the long-term stock growth has been solid as well, up 20% in the last five years, and over 200% in the last decade.



Data via Yahoo! Finance

Investors looking to cover both of these companies may have difficulty finding Unifi in ETFs due to its smaller presence on the market, but Eastman and similar companies can be found in the Invesco S&P 500 Equal Weight Materials ETF (RSPM)

Data via Yahoo! Finance

DEEP BRIEF

Sustainable Apparel

The recycling of textiles and the creation of sustainable materials both lead to one goal: A finished product.

Remember how The North Face was leaning into sustainable practices after the success of Adidas?

Its parent company, VF Corporation (VFC), is implementing these practices across its many apparel brands.

- Parent company VF Corporation owns a number of high-profile apparel brands including The North Face, Timberland, Vans and Supreme.

Announcement via wbcsd

VF Corporation has begun to lean heavily into this trend with its products and marketing, introducing dedicated marketing campaigns that highlight not only its products, but corporate efforts to go green.

Data via Companies Market Cap

VF Corporation has struggled following the COVID-19 pandemic, falling from a revenue of $39 billion in 2019 to just $7 billion in 2023.

But by capitalizing on this consumer shift, it has been heading back up - with revenue jumping more than 15% since the shift in marketing, and starting 2025 just under $9 billion.

Data via Yahoo! Finance

VF Corporation's share prices have reflected this journey, down 70% since the pandemic, but up 41% in the last year, with earnings beating Wall Street's expectations in Q2 and Q3 of 2024.

These sustainability practices are a growing business for major brands like VF Corporation and Nike, but for some newer brands, it's all they do.

Allbirds (BIRD) is a brand focused entirely on the production of eco-friendly shoes. It held its IPO in 2021, and despite its initial buzz, the share prices crashed shortly after.

Data via Yahoo! Finance

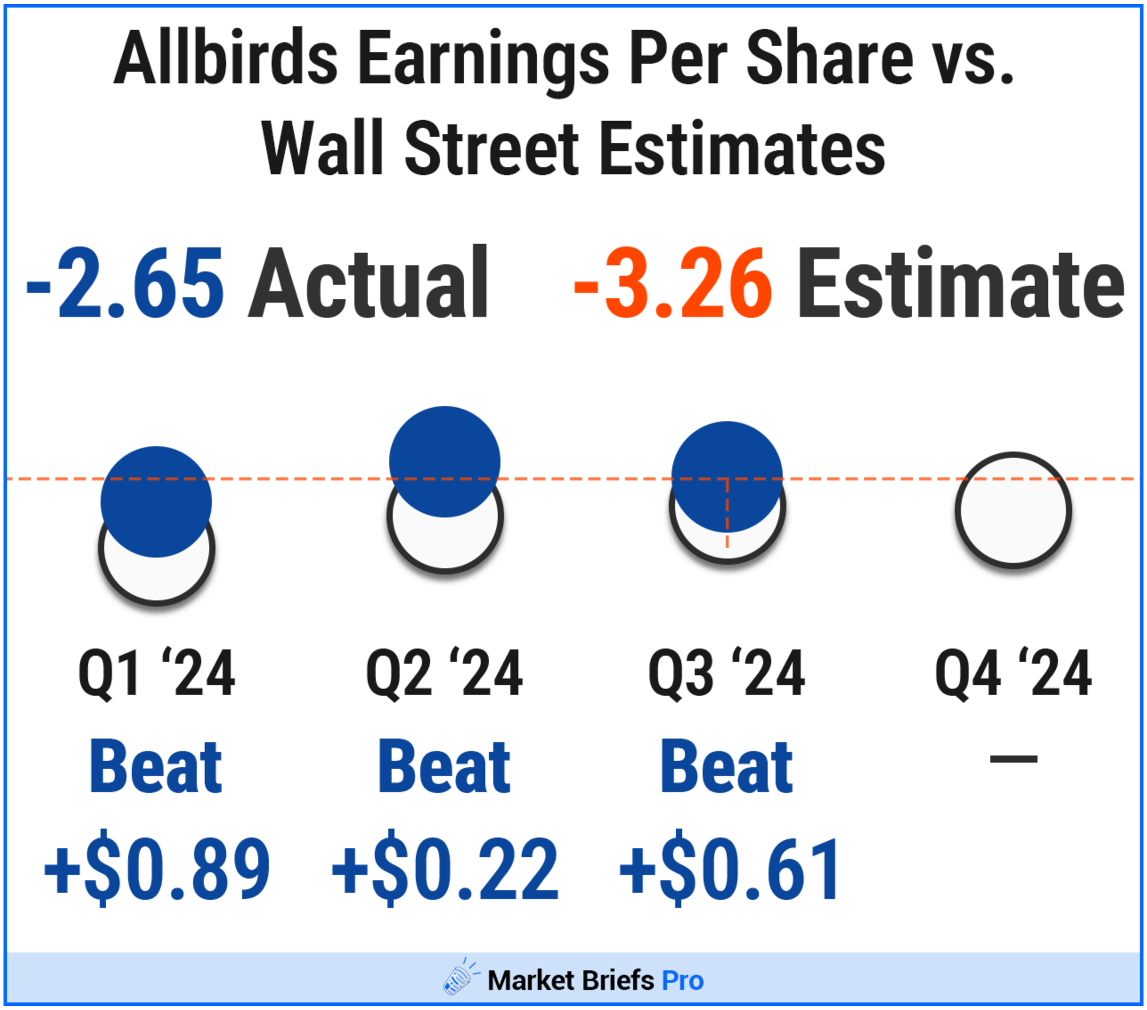
- Allbirds shares are down 98% since finishing its IPO.

Its revenue has crashed as well, dropping from $2.2 billion to just $4 million dollars in a 4-year span.

At this point, any potential success of Allbirds is extremely speculative, but recently the company has surprised in a few ways:

- EPS beat Wall Street Expectations by large percentages throughout 2024.

- Growing interest in the market and sales trending towards profitability has analysts pricing shares around double where they are now ($11 average target vs $6.37 as of writing this).



Data via Yahoo! Finance

A smaller company like Allbirds may be unable to capitalize on this growing consumer shift, but if eco-friendly shoppers continue to dominate the market, it might allow them to stabilize.

Despite eco-friendly products being a growing part of major apparel brands, there aren't any ETFs that specialize in eco-friendly apparel.

Investors looking to cover a wide array of these brands would have to look into various consumer discretionary funds and take on a broader investment in consumer-facing industries.

REVIEW

Sustainable Fashion = Sustainable Profits?

Millennials and Gen Z are buying more clothes, and more than any other generation, these shoppers are open about sustainability and leaving wasteful clothes on the rack.

Businesses have seen the shift in spending, and are building new products and supply chains from the ground up in order to keep their brands fashionable with these generations.

And for an investor, this new industry could mean an opportunity.

Growing textile waste + eco-friendly consumers = circular apparel industry

The circular economy around sustainable clothing is still young, but it's growing, and for some brands it has become a way for them to turn around a struggling business.

This Main Street Shift is creating an opportunity for portfolios to try on a few new investments.

- Briefs Media Team

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